The financial crisis of 2008 caused many financial advisors and wealth managers to evaluate different approaches to portfolio construction other than solely stocks and bonds. The returns seen by hedge funds during the crisis were identified as examples where nontraditional and alternative investment vehicles had provided positive (in some cases, drastically so) performance returns.

John Paulson became the face of hedge fund billionaires who benefited from the crisis when it was revealed that he had personally earned over $1 billion from his fund management, including the Paulson Advantage Plus Fund (an event-driven fund). This fund alone ranked number one over the period of 2006 to 2008 with an annualized return of nearly 63 percent. Equally successful was James Simons's Renaissance Technologies Medallion Fund with a return of 80 percent in 2008. Becoming a hedge fund manager became all the rage for business-minded students when it was revealed that the top 25 hedge fund managers had earned a total of $22.3 billion in 2007 and $11.6 billion in 2008.[8]

With numbers like these, the world of hedge funds caught the attention of the media. Investors questioned if these managers had something to do with the crash.[9] They also wanted to know what they were doing differently and whether it was something they could do as well.

First, let's understand what we mean by a hedge fund and how they differ among themselves. It's difficult to lump hedge funds together in one group, as they often have different investment objectives and approaches. Historically, one of the